

FREE WHITE PAPER

# Setting Your Labour Rate

How to work out a rate that covers your costs and pays you, and why the rate you post isn't the rate you collect.

For independent auto repair shops with ten technicians or fewer.

XSite Auto xsiteauto.com

BEFORE YOU START

# Your rate should come from your numbers, not the shop down the street.

Many small shops are busy every day and still struggle to pay the owner. Very often, the labour rate is the reason. It was set by guessing or by copying a competitor, and it doesn't cover what the shop really costs to run.

This white paper walks you through working out the right rate for your shop, step by step, with a worked example. You'll need last year's numbers, a calculator and about an hour. There's a worksheet at the back to fill in with your own figures.

### About the example

The example is a shop with three technicians. Its numbers are round figures chosen to show the math, not industry averages. Work through your own shop's numbers with the worksheet, and check them with your accountant.


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1 OF 10 · THE BIG LEVER

# Why your rate matters more than you think

Your labour rate is the single number with the biggest effect on whether the shop makes money. Most owners set it once, years ago, by looking at what the shop down the street charges, and rarely touch it again.

Every hour your technicians bill is multiplied by that rate. A small change, made once, repeats on every job for years.

### WHAT TO DO

1. Write down your current posted labour rate, and when you last changed it.
2. Work through the next sections to find what your rate needs to be.
3. Compare the two. Most owners who do this find they're under-charging.

### AN EXAMPLE

Three technicians each bill 30 hours a week, 50 weeks a year. Raise the rate by $10 an hour:

**3 × 30 × 50 × $10 = $45,000 a year**

with no extra hours worked, no extra cars, and no extra advertising.

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2 OF 10 · STEP 1

# Add up what the shop costs

You can't set a rate that covers your costs without knowing what they are. Use last year's numbers from QuickBooks or your accountant, and work in a year at a time.

### WHAT TO DO

1. **Technician pay:** every technician's wages for the year, including paid holidays and vacation.
2. **Payroll costs:** the employer's share of payroll taxes and contributions, workers' compensation and any benefits. Often around a fifth of wages.
3. **Shop overhead:** rent, insurance, utilities, phones and software, equipment payments, tools, training, advertising and everything else it takes to open the doors.
4. **Your own pay:** a fair wage for the work you do. If the shop can't pay you, it isn't profitable yet.

### COMMON MISTAKES

- Leaving out your own pay, so the shop only "breaks even" because you work for free.
- Forgetting yearly costs like insurance renewals and equipment repairs.

3 OF 10 · STEP 2

# Work out your billable hours

Your technicians are paid for every hour they're at work, but only some of those hours end up on an invoice. Your rate has to be based on the hours you actually bill.

Start with the hours each technician is available to work: for example, 40 hours a week for 50 weeks is 2,000 hours a year. Then estimate how many of those hours end up billed. Time spent waiting for parts, on comebacks, cleaning up and road-testing isn't billed.

**AN EXAMPLE**

Three technicians are available 2,000 hours each, and about 70% of that time ends up billed:

## 3 × 2,000 × 70% = 4,200 billed hours

That's the number your rate is divided into, not the 6,000 hours you pay for.

**COMMON MISTAKES**

- Dividing by hours paid instead of hours billed, which makes the rate look higher than it needs to be on paper and too low in practice.

**TRACK THIS**

**Billed hours ÷ hours available,**
for each technician, every week.

4 OF 10 · STEP 3

# Find your break-even rate

Your break-even rate is the lowest rate that covers your costs, including your own pay, with nothing left over. Charging less than this means every hour you sell loses money.

| | |
|---|---|
| **Technician wages: 3 techs × $30 an hour × 2,080 paid hours** | $187,200 |
| **Payroll costs and benefits, about 20%** | $37,440 |
| **Shop overhead: $8,000 a month × 12** | $96,000 |
| **Your own pay** | $80,000 |
| **Total to cover** | **$400,640** |
| **Less what your parts margin covers** | − $50,000 |
| **Labour has to cover** | **$350,640** |

Your parts markup covers part of your costs. Take last year's parts gross profit (what you sold parts for, minus what they cost you) off the total. What's left is what labour has to pay for.

**BREAK-EVEN RATE**

Divide what labour has to cover by your billed hours:

## $350,640 ÷ 4,200 = about $83.50 an hour

Below this, the shop is losing money on every hour it sells.

5 OF 10 · STEP 4

# Add the profit you need

Break-even isn't the goal. A shop needs profit to replace equipment, get through a slow winter, and grow. Profit isn't greed. It's what keeps the doors open in a bad year.

Decide what share of each labour dollar should be profit. Many owners aim for somewhere between 10% and 20%. Then divide your break-even rate by what's left.

**YOUR TARGET RATE**

With a 15% profit target, divide the break-even rate by 0.85:

## $83.50 ÷ 0.85 = about $98 an hour

That's the lowest rate that covers everything and leaves a real profit, for this example shop. Your numbers will be different.

**COMMON MISTAKES**

- Adding a few dollars to the break-even rate and calling it profit.
- Skipping this step because the market rate "feels" high enough.

6 OF 10 · STEP 5

# Posted rate versus the rate you collect

The rate on your wall isn't the rate you actually earn. Discounts, free diagnosis, comebacks and work that never gets written down all pull the real number down.

Your **effective labour rate** is your labour sales for a period divided by the hours your technicians billed. It's the honest number.

### WHAT TO DO

1. Work out your effective rate every month.
2. If it's well below your posted rate, look for the leaks: discounts, free diagnosis, comebacks and unbilled work.
3. Fix the leaks before raising the posted rate.

### AN EXAMPLE

Your posted rate is $120. Last month your technicians billed 350 hours, and labour sales were $36,400:

## $36,400 ÷ 350 = $104 an hour effective

That's $16 an hour lost to discounts and giveaways, about $5,600 a month.

TRACK THIS

**Effective rate ÷ posted rate,**
every month.

7 OF 10 · STEP 6

# Check the market, but don't copy it

It's worth knowing what nearby shops charge. But their rate is based on their costs, their volume and their mistakes, not yours.

### WHAT TO DO

1. Call three or four shops nearby and ask their hourly rate, as a customer would.
2. Compare like with like: a dealer, a chain and a one-bay shop are different businesses.
3. If your target rate is above the market, look at what you offer that they don't: speed, a warranty, a technician with your experience, a clean waiting room, online booking.
4. If your target rate is far below the market, you may have room to charge more than you think.

### COMMON MISTAKES

- Setting your rate a few dollars below the cheapest shop in town.
- Assuming customers choose on rate alone. Most choose on trust and convenience.

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8 OF 10 · STEP 7

# Raising your rate without losing customers

Most owners put off a rate increase because they're afraid of losing customers. In practice, very few customers notice a modest increase, and fewer still leave over it.

### WHAT TO DO

1. Raise in small steps, once a year, rather than a big jump every few years.
2. Pick a natural moment, such as the new year or when your costs go up.
3. Update your posted rate, your website and your quote templates on the same day.
4. Train the counter to explain it simply if asked, without apologizing.
5. Keep an eye on approvals for a month. If they hold steady, the new rate is working.

> *"Our rate went up a little in January, like most of our costs did. It keeps us able to pay good technicians and stand behind our work."*

### COMMON MISTAKES

- Apologizing for the increase, which tells the customer it's unfair.
- Waiting five years, then needing a jump big enough for everyone to notice.

9 OF 10 · STEP 8

# Different rates for different work

Not all hours are worth the same. Many shops use more than one rate, so the price matches the skill and the equipment the job needs.

### WHAT TO DO

1. Consider a separate diagnostic rate for electrical and drivability work, where skill and equipment matter most.
2. Consider a fleet or account rate for business customers who bring steady, predictable work.
3. Keep it simple: two or three rates at most, written down so everyone uses them the same way.

### COMMON MISTAKES

- Different rates by feel, depending on who's at the counter.

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10 OF 10 · KEEP IT CURRENT

# Review it twice a year

Costs change. Wages go up, rent goes up, insurance goes up. A rate that was right two years ago may be a money-loser today.

### WHAT TO DO

1. Twice a year, update the numbers: costs, billed hours and parts gross profit.
2. Recalculate your break-even and target rates using the worksheet at the back.
3. Compare your effective rate with your target. If there's a gap, fix leaks first, then adjust the posted rate.
4. Write the date and the numbers down, so next time is quicker.

> **In XSite Auto:** Repair orders keep labour and parts separate, and the Today screen shows labour hours billed this week, so the numbers you need for this are easy to find.

WORKSHEET

# Your labour rate

Fill in your own numbers for a year. Date: _____

| | |
|---|---|
| A. Technician wages for the year | $ |
| B. Payroll costs and benefits | $ |
| C. Shop overhead for the year | $ |
| D. Your own pay | $ |
| E. Total to cover (A + B + C + D) | $ |
| F. Parts gross profit for the year | $ |
| G. Labour has to cover (E − F) | $ |
| H. Hours technicians are available in a year | |
| I. Share of those hours that get billed (for example 0.70) | |
| J. Billed hours (H × I) | |
| **K. Break-even rate (G ÷ J)** | $ |
| L. Profit target (for example 0.15) | |
| **M. Target rate (K ÷ (1 − L))** | $ |
| N. Your posted rate today | $ |
| O. Your effective rate last month (labour sales ÷ billed hours) | $ |

If M is above N, your posted rate is too low. If O is well below N, fix the leaks first. This worksheet is a planning tool, not financial advice. Check the numbers with your accountant.

# Know where every dollar stands

XSite Auto keeps labour and parts separate on every repair order, tracks the hours your technicians bill, and shows money owing and the day's takings at a glance, built for shops with ten technicians or fewer.

**$99 USD or $139 CAD a month** after a free 14-day trial, with no credit card needed and no contract. Done-for-you setup is optional ($495 USD or $695 CAD, one time).

**Start a free trial** | **Book a 15-minute demo**

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